14. The State Legislations shall contain safeguards to ensure that Panchayats at the higher level do not assume the powers and authority of any Panchayat at the lower level or of the Gram Sabha.

15. The State Legislature shall endeavour to follow the pattern of the Sixth Schedule to the Constitution while designing the administrative arrangements in the Panchayats at district levels in the Scheduled Areas.

16. Any provision of any law (relating to Panchayats in the Scheduled Areas) which is inconsistent with the provisions of this Act shall cease to be in force at the expiry of one year from the date on which this Act receives the assent of the President [6]. However, all the Panchayats existing immediately before such date shall continue till the expiry of their term, unless dissolved by the State Legislature sooner.

Finances of Panchayati Raj

The Second Administrative Reforms Commission of India (2005–2009) has summarized the sources of revenue of the Panchayati Raj Institutions (PRIs) and their financial problems in the following way[7]:

1. A major portion of Part IX of the Constitution deals with structural empowerment of the PRIs but the real strength in terms of both autonomy and efficiency of these institutions is dependent on their financial position (including their capacity to generate own resources). In general, Panchayats in our country receive funds in the following ways:

(i) Grants from the Union Government based on the recommendations of the Central Finance Commission as per Article 280 of the Constitution.

(ii) Devolution from the State Government based on the recommendations of the State Finance Commission as per Article 243-I.

(iii) Loans / grants from the State Government.

(iv) Programme-specific allocation under Centrally Sponsored Schemes and Additional Central Assistance.

(v) Internal Resource Generation (tax and non-tax).

2. Across the country, States have not given adequate attention to fiscal empowerment of the Panchayats. The Panchayats own resources are meager. Kerala, Karnataka and Tamil Nadu are the states which are considered to be progressive in PRIs empowerment but even there, the Panchayats are heavily dependent on government grants. One can draw the following broad conclusions:

(i) Internal resource generation at the Panchayat level is weak. This is partly due to a thin tax domain and partly due to Panchayats own reluctance in collecting revenue.

(ii) Panchayats are heavily dependent on grants from Union and State Governments.

(iii) A major portion of the grants both from Union as well as the State Governments is scheme specific. Panchayats have limited discretion and flexibility in incurring expenditure.